Instructions to find noi and cap rate

1. Read rent roll and opex sheet throughout. Make sure to read notes on bottom of durham rent roll
2. Multiple every unit monthly rent by 12 to an annual Gross Potential Rent
3. Under “status” column in rent roll, if any unit is vacant, subtract its annual amount from total
4. Read notes section and any unit is occupied by on site manager as part of their compensation, subtract the annual unit amount from the total as thats non revenue unit
5. Read notes section and subtract any concessions from that specific units annual rent. For example is 1 month free rent is subtracting the annual by 1 month rent to get effective rental income
6. Look through opex statement for other income and add the total to what we have so for to get effective gross rent
7. Subtract total annual operating expensises to get noi
8. To find the cap rate, look for the asking price on the rent roll. You are to take your noi and divide it by the asking price/ sale price to get cap rate

Round 1:

/cedar ridge noi and cap rate use this info on cedar ridge rent roll and opex summary **…..**

Cedar Ridge Apartments: NOI of $98,100 and a cap rate of about 5.61% at the $1,750,000 asking price.

Line item	Annual
Gross potential rent (12 units × monthly rent × 12)	$208,200
Less vacancy: Unit 111 ($1,500 × 12)	($18,000)
Less non-revenue unit: Unit 112, on-site manager ($1,450 × 12)	($17,400)
Less concession: Unit 110, one month free	($1,500)
Effective rental income	**$171,300**
Plus other income (laundry, parking, late fees)	$6,600
Effective gross income	**$177,900**
Less total operating expenses	($79,800)
Net operating income	**$98,100**
Asking price	$1,750,000
Cap rate (NOI ÷ price)	**5.61%**

The monthly rent roll totals $17,350, which is where the $208,200 GPR comes from (7 units at $1,450, 2 at $1,375, 2 at $1,500, and 1 at $1,450).

Points from the broker notes worth raising if this comes up in class or an interview:

- **Rents are below market.** Units 108 and 109 are on pre-renovation leases at $1,375. Recent leases are signed at $1,500. Unit 108 is already month to month, and Unit 109's lease ended 9/14, so both could be moved up to market. That's about $3,000 a year of upside, which isn't in this NOI.
- **The concession is a one-time hit.** Unit 110's free month only affects this year. At a stabilized level, that unit contributes the full $18,000.

- **The vacancy is a real unit at a real rent.** Unit 111 is being marketed at the same rate as the latest signed lease. Leasing it would add $18,000 to NOI, which would push the cap rate to about 6.6% on the same price.

Round 2:

/cedar ridge noi and cap rate use this info on cedar ridge rent roll and opex summary**….**

is $98,100 and the cap rate is about 5.61% on the $1,750,000 asking price.

Rental income

Step	Annual
Gross potential rent ($17,350/mo × 12)	$208,200
Less vacancy, Unit 111 ($1,500 × 12)	($18,000)
Less non-revenue unit, Unit 112, on-site manager ($1,450 × 12)	($17,400)
Less concession, Unit 110, one month free	($1,500)
Effective rental income	**$171,300**

From income to NOI

Step	Annual
Effective rental income	$171,300
Plus other income (laundry $3,600, parking $2,400, late fees $600)	$6,600
Effective gross income	**$177,900**
Less total operating expenses	($79,800)
Net operating income	**$98,100**

Cap rate: $98,100 ÷ $1,750,000 = **5.61%**

There are a few points in the rent roll you might want to raise in a write-up. None of them change the method above.

- **Units 108 and 109 rent for less than the rest of the building.** They are on legacy leases at $1,375. Recent leases are going for $1,450 to $1,500. If both moved up to $1,500, that would add about $3,000 a year.
- **Some leases are short or uncertain.** Unit 108 is month to month. Unit 109's lease ended 9/14/26, but it's still marked occupied, so it's probably a holdover. Unit 103's lease expires 10/31/26.
- **The concession only affects the first year.** Unit 110's free month lowers income this year only. On a stabilized basis, NOI would be about $99,600, which is a 5.69% cap rate.

Round 3 - reordered rent roll:

Cedar Ridge Apartments works out to an **NOI of $98,100** and a **cap rate of about 5.61%** at the $1,750,000 asking price.

Step	Amount
Gross potential rent (12 units × monthly rent × 12)	$208,200
Less: vacancy, Unit 111 ($1,500 × 12)	(18,000)
Less: non-revenue unit, Unit 112 on-site manager ($1,450 × 12)	(17,400)
Less: concession, Unit 110 one month free	(1,500)
Effective rental income	**$171,300**
Plus: other income (laundry, parking, late fees)	6,600
Effective gross income	**$177,900**
Less: total operating expenses	(79,800)
Net operating income	**$98,100**
Asking price	$1,750,000
Cap rate ($98,100 ÷ $1,750,000)	**5.61%**

Monthly rents behind the $208,200: eight units at $1,450, two at $1,500 (110 and 111), and two at $1,375 (108 and 109).

Other things in the broker notes:

- Units 108 and 109 are on older $1,375 leases signed before the 2025 renovations. Unit 108 has been month to month since August 1. Unit 109's lease ended September 14,

2026. If both moved to the $1,450 rent the other units pay, rent would go up by $1,800 a year and the cap rate would be about 5.71%.

- Only one unit is vacant, so physical vacancy is 8.3%. Counting the vacant unit, the manager's unit and the free month, total rent lost is about 17.7% of gross potential rent.
- Operating expenses already include a management fee ($8,600) and replacement reserves ($3,400), so the NOI is fairly conservative.

The NOI and Cap rate didn't change